H1 2023
Results Presentation

Overview

1. Macroeconomic Update
2. Sector Update
3. Operational Performance
4. Financial Overview
5. Key Focus Areas

Uganda Economic Update
Macros in brief

CBR lowered to 9.5% from 10% (since Oct 22)

Continued improvement in the level of economic activity, CIEA of 159.54 in June, up by 1.5% in May.

Estimated annual growth of 5.3%, economy resilient and recovering well
GDP drivers: services, industry and agriculture.

Inflation decreased to 3.9%, below the 5% medium term target. Downward trend expected to continue.

UGX has lost only 0.5% against the USD year to date. Exchange rate is expected to remain stable

Source : Bank of Uganda, Uganda Bureau of Statistics

Sector Updates

UMEME
Powering Uganda

Commissioning and testing Karuma Hydro Power Plant ongoing.

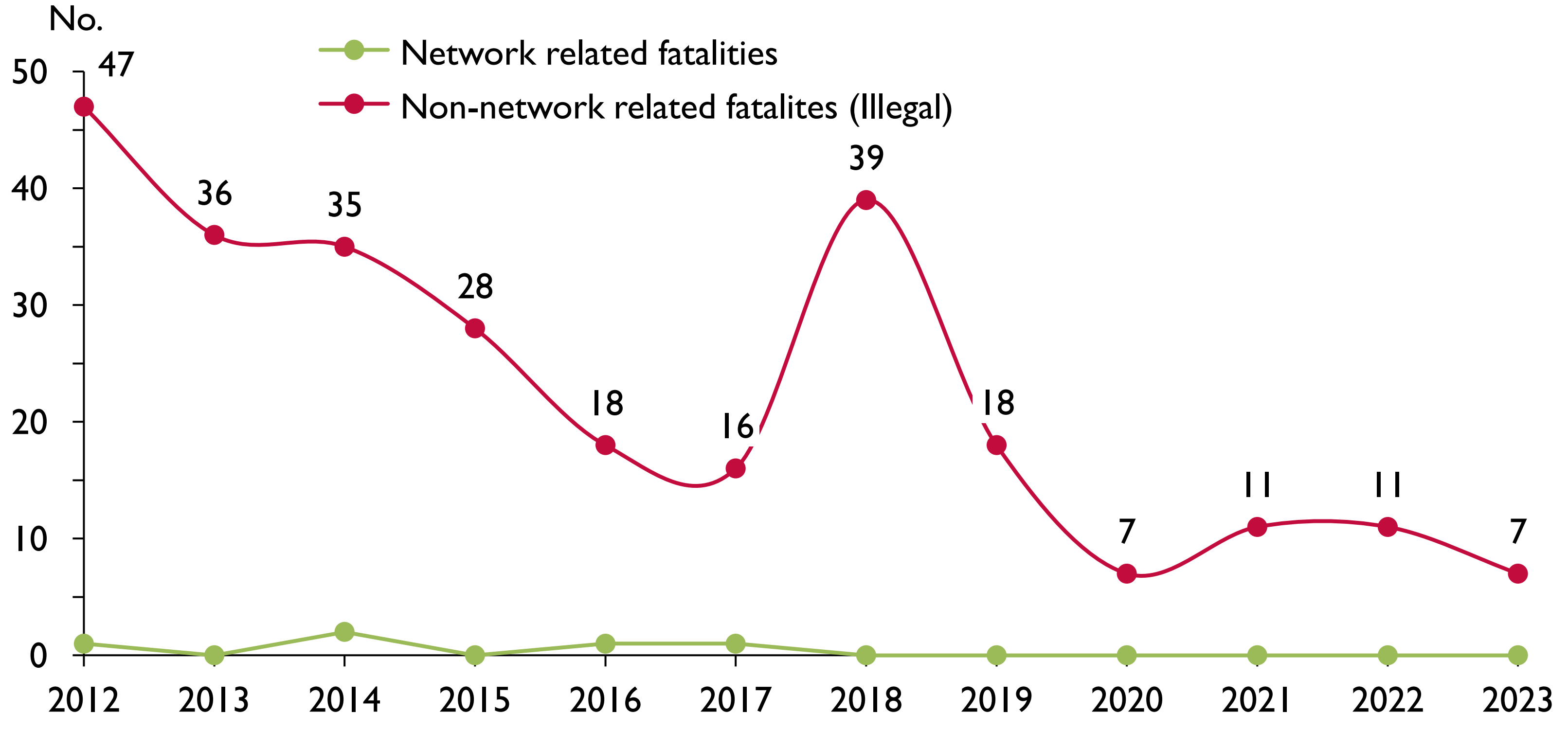
Consolidation of Government of Uganda agencies postponed to 2025

WORLD BANK GROUP

World Bank electricity scale-up project (targeting 1 million connections)

Reduction of connection costs & implementation of Uganda Development Bank funded connection program.

Safety Report



We recorded 7 non attributable fatalities related to network interference, power theft and unauthorized operations.

Safety

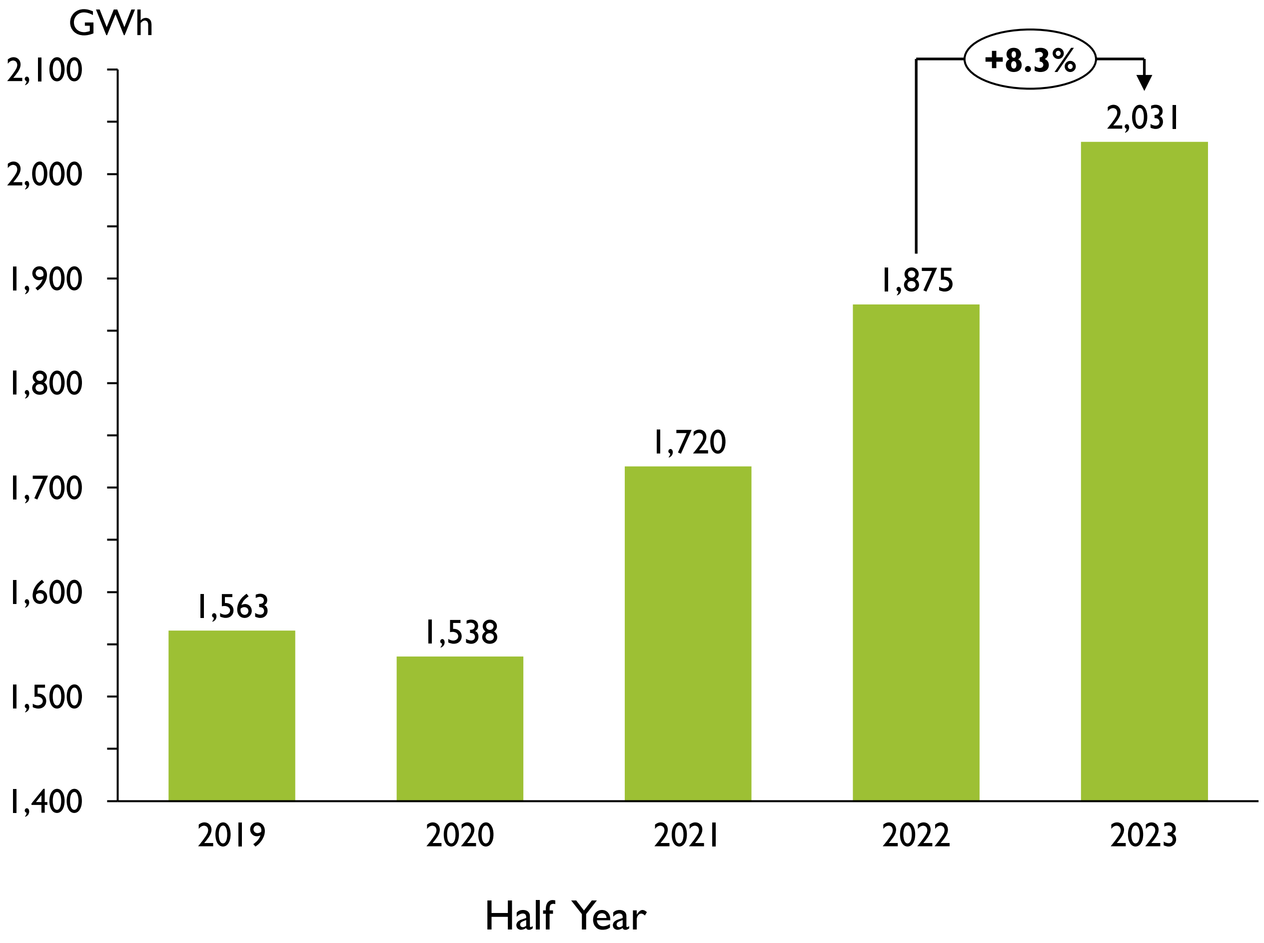
Safety Award

Fire Marshall Training

Wash lines

School Safety Club

Growing Electricity Demand: +8.3%



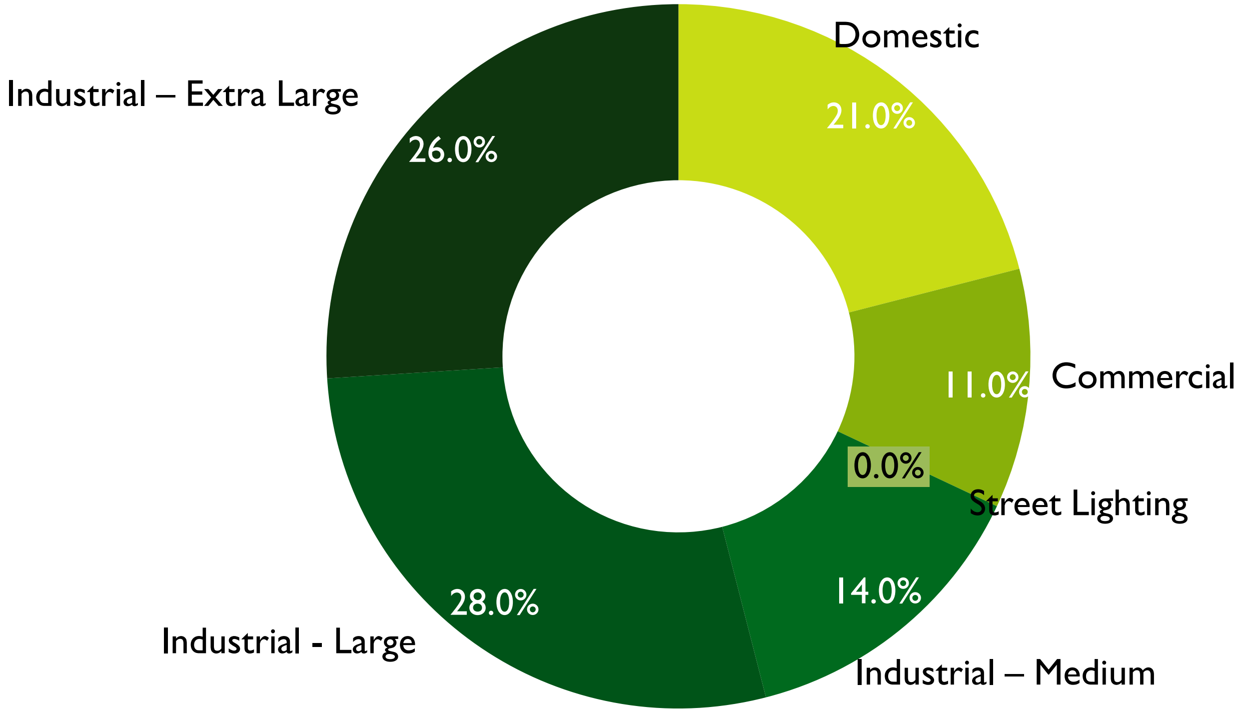
- Increase in sales driven by increase in economic activity
- Driven by reduction in Energy Not Served (ENS), Energy Loss reduction to 16.7%, consumption growth and new connections

Electricity Sales

Consumption per Customer Class

Customer Category	H1 2023 (GWh)	H1 2022 (GWh)	Growth %
Domestic	**431.2**	401.0	7.5%
Commercial	**223.5**	205.1	9.0%
Street Lighting	**1.2**	1.0	25.9%
Industrial – Medium	**288.2**	264.1	9.1%
Industrial - Large	**567.6**	508.6	11.6%
Industrial – Extra Large	**519.5**	495.8	4.8%
Total	**2,031.3**	**1,875.4**	**8.3%**

% Share of Electricity Sales



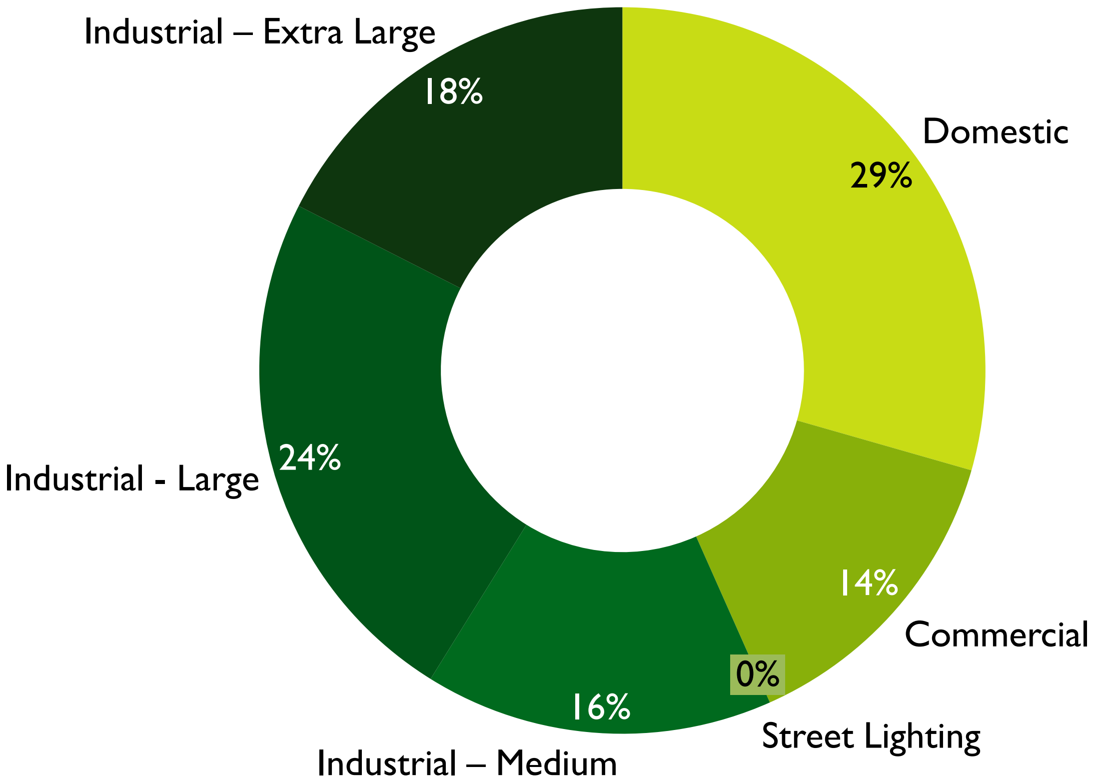
Revenue Composition

Revenue per Customer Class

Customer Category	H1 2023 (UShs Bn)	H1 2022 (UShs Bn)	Growth (%)	No.
Domestic	**297.8**	261.1	14.1%	1,734,882
Commercial	**140.6**	123.0	14.3%	90,725
Street Lighting	**0.5**	0.4	25.0%	302
Industrial – Medium	**156.6**	140.5	11.5%	3349
Industrial - Large	**239**	196.5	21.6%	666
Industrial – Extra Large	**177.3**	158.3	12.0%	50
Total	**1,011.7**	**879.7**	**15.0%**	**1,757,563**

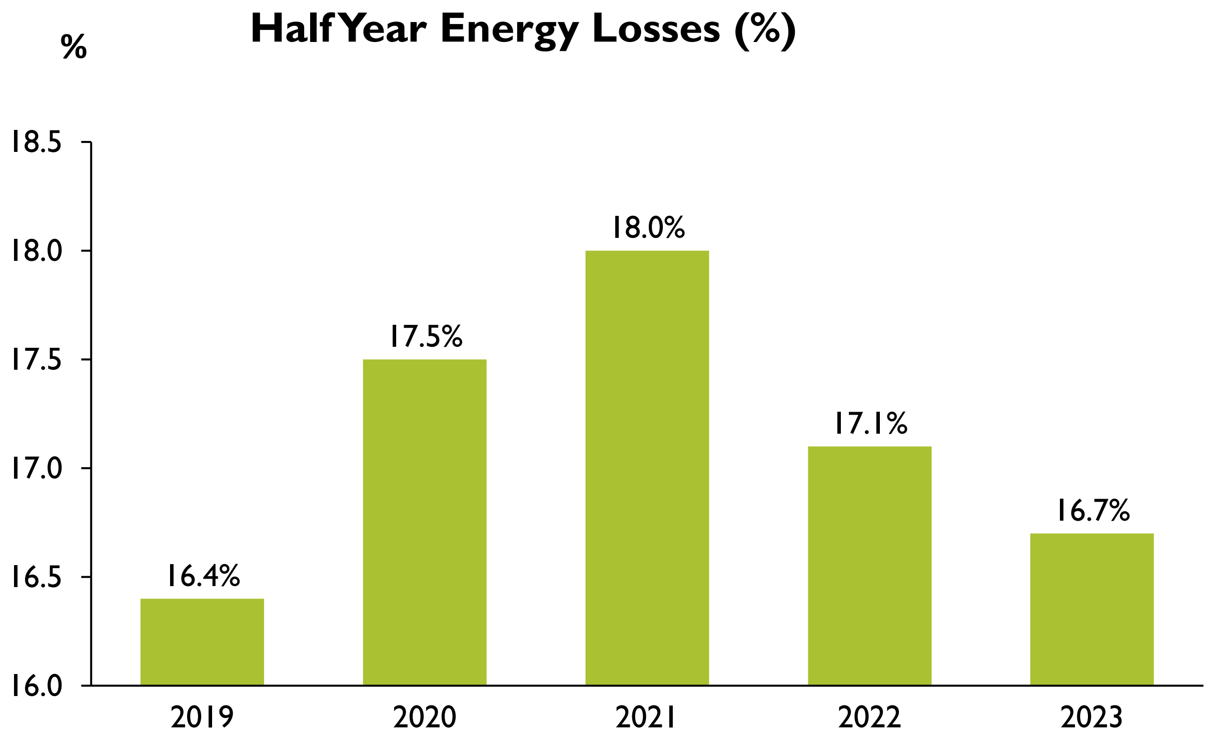
- Revenue from electricity sales increased by 15% on account of volume growth of 8.3%.

% Share of Revenue



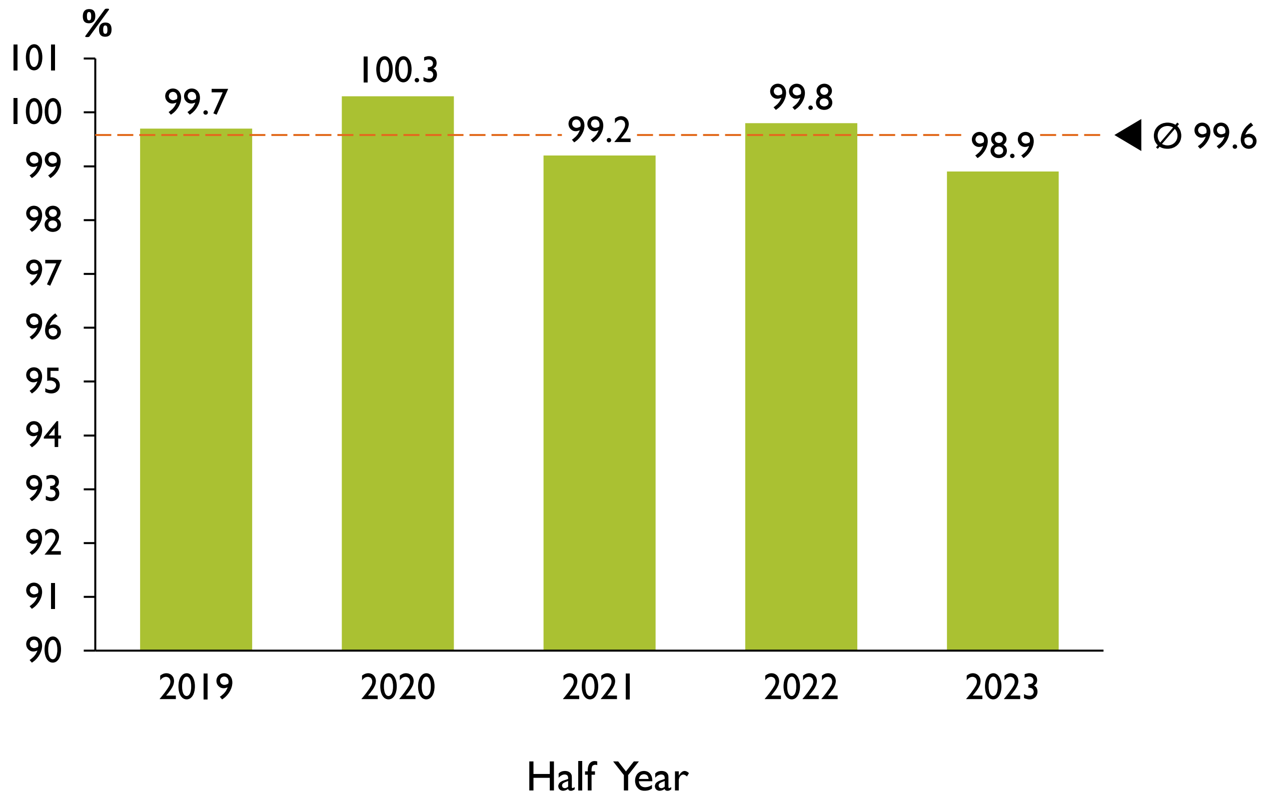
Energy Losses

Improved Energy Loss Performance in 2022



- Loss-reduction activities resumed
- CSR and community partnerships to address losses and safety records in low-income areas.
- Reduced investments and growing demand have impacted technical losses

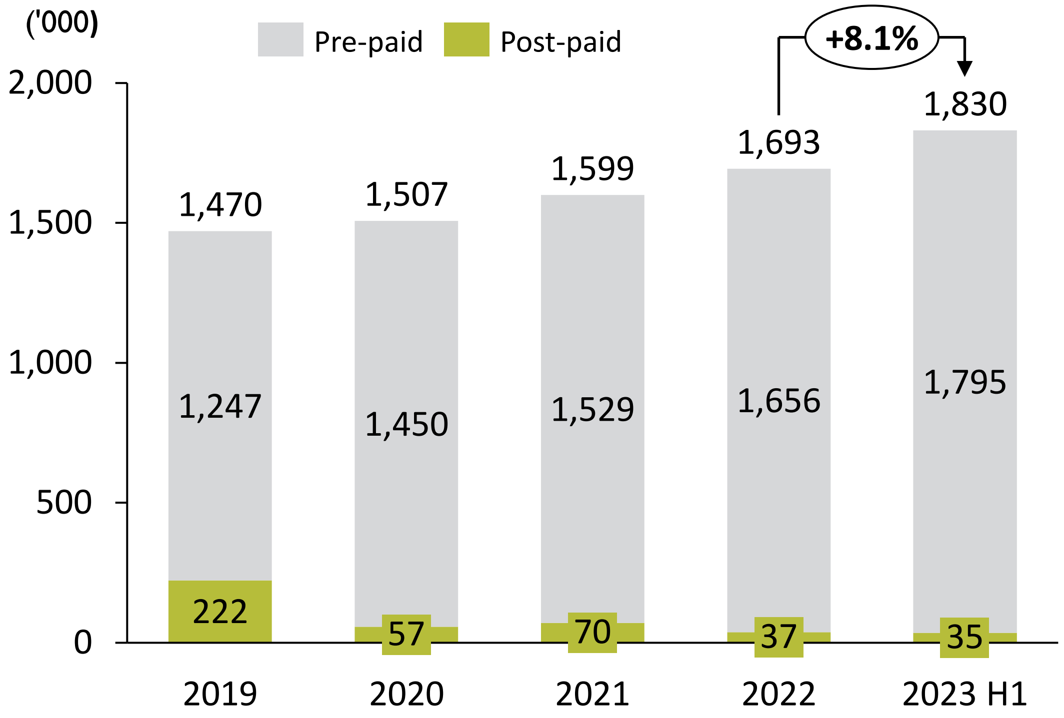
Cash Collections



- Revenue collection rate was 98.9%.
- Average collection rate of 99.6% over the years
- Lag in collections from government in H1 which are now being cleared.

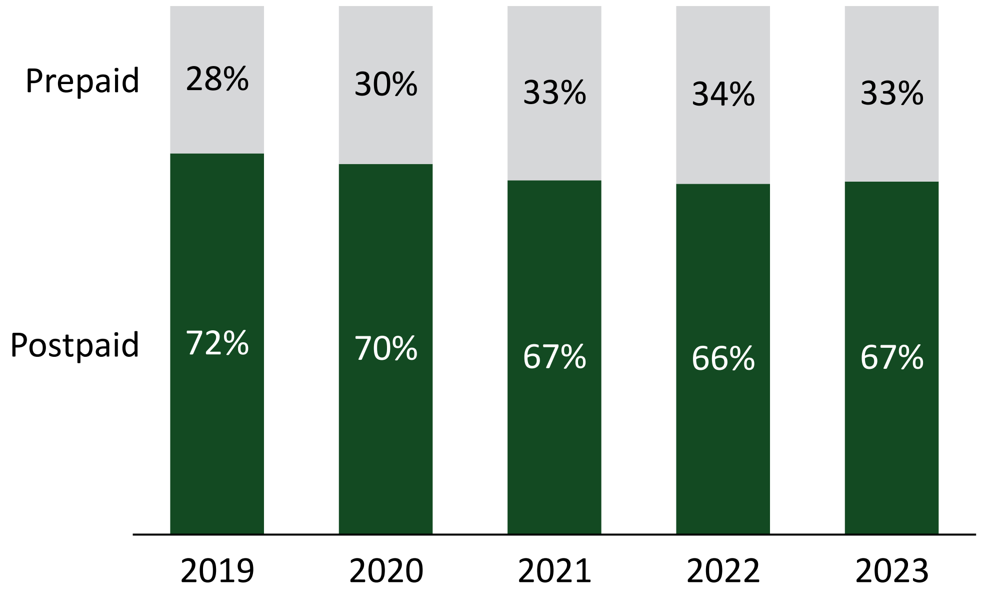
Customer Connections

Customer Numbers



- 72k new connections made in 2023
- Supported by customer funded connections, hybrid connections and other funded projects

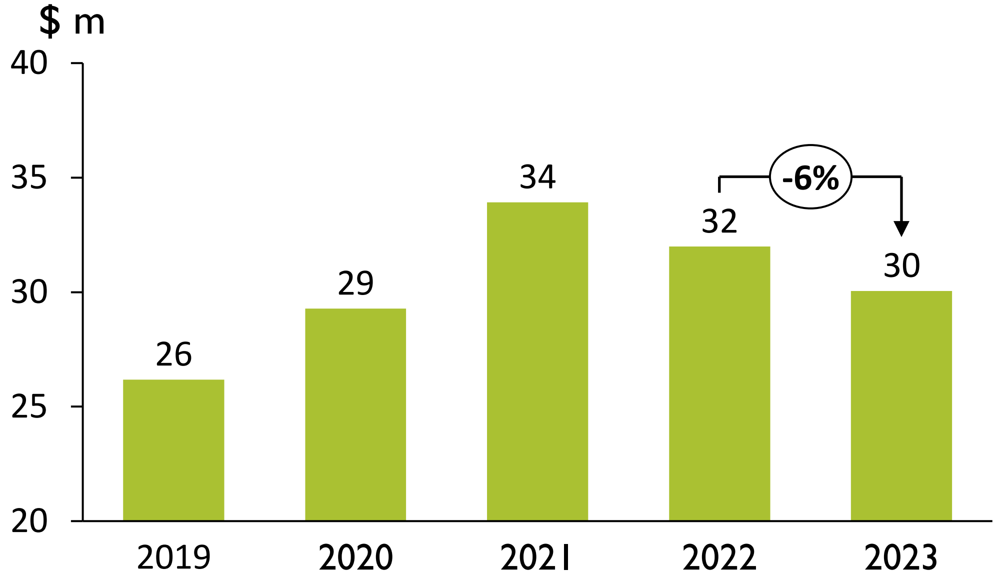
Prepaid vs Postpaid % of Total Revenue



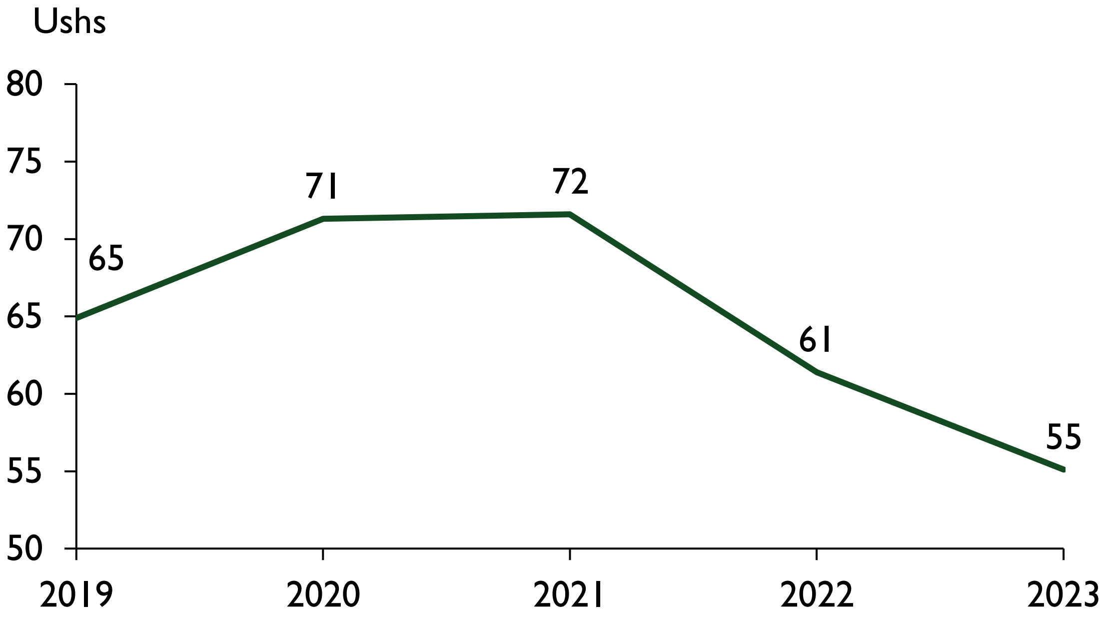
- 33.2% of revenues attributed to prepaid customers.

Drive to Cost-Efficiency

Operating Expenses



Opex per KWh



- Opex reduced by 6% due to operating efficiencies, technology uptake and optimized supply chains.
- The reduction in global and country inflation contained cost escalations during the period.

- Opex per KWh sold reduced by 9.8% while Opex per customer reduced by 10%

Financial Overview ($m)

Income Statement	H1 2023	H1 2022	%ch
Revenue	289.0	249.4	15.9%
Cost of Sales	(193.4)	(172.0)	12.4%
Gross Profit	**95.6**	**77.4**	**23.5%**
Operating Expenses	(30.1)	(32.0)	-5.9%
EBITDA	65.6	45.3	44.8%
Amortization	56.5	21.8	158.7%
Finance Costs (ex. lease)	(6.9)	(4.9)	40.8%
PBT	3.6	29.7	-87.9%
Profit After Tax	**2.6**	**21.8**	**-88.1%**

Financial Position at	H1 2023	FY 2022	%ch
Total Assets	656.8	691.4	-5.0%
Shareholders Equity	246.1	271.6	-9.4%
Net Debt	**20.4**	**71.2**	**-72%**
Operating cashflow	59.4	52.1	14.0%

- Revenue increased to $289m due to growth in electricity sales and underlying pricing.
- Umeme Gross Margin increased to 33.1% vs 31% in H1 2022.
- Profit after tax reduced to $2.6 m compared to $21.8 m due to recognition of a higher amortization charge.
- Net debt reduced 72% from FY2022 close.

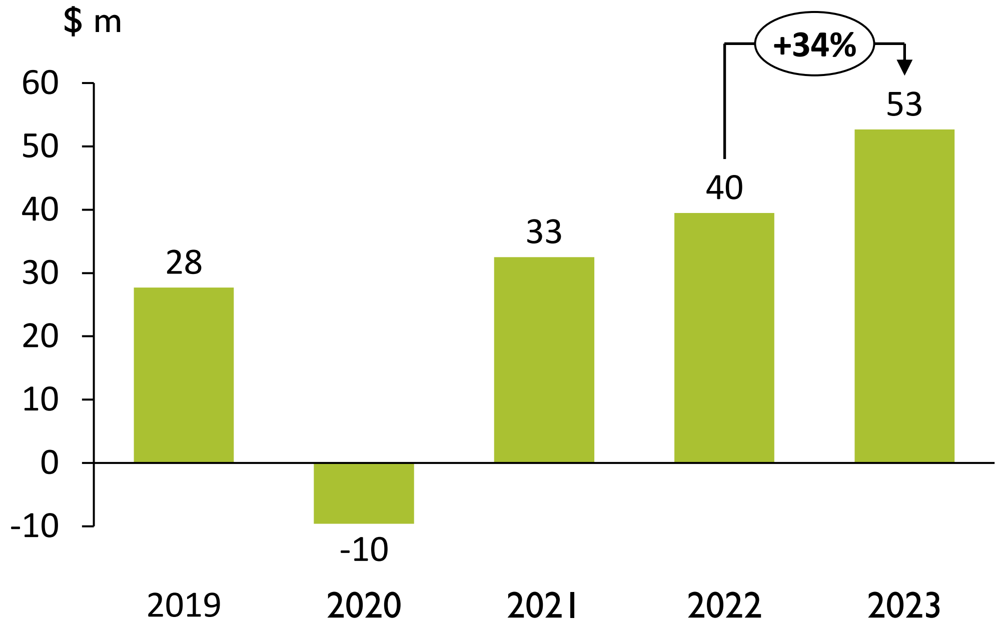
Financial Overview (UShs bn)

Income Statement	H1 2023	H1 2022	%ch
Revenue	1,075.7	897.0	19.9%
Cost of Sales	(719.8)	(618.6)	16.4%
Gross Profit	**355.9**	**278.4**	**27.8%**
Operating Expenses	(111.9)	(115.1)	-2.6%
EBITDA	244.0	162.8	49.9%
Amortization	210.2	78.5	167.7%
Finance Costs (ex. lease)	(25.6)	(17.6)	45.5%
PBT	16.7	92.8	-82.0%
Profit After Tax	**13.2**	**64.4**	**-79.5%**
Financial Position at	**H1 2023**	**FY 2022**	
Total Assets	2411.8	2,571.1	-6.2%
Shareholders Equity	903.6	1010.0	-10.5%
Net Debt	**74**	**268.4**	**-72%**
Operating cashflow	350.0	315.0	11.1%

- Revenue increased by 19.9% to UShs 1,076 billion compared to UShs 897 billion in 2022. The growth is attributed to growth in electricity sales and underlying pricing.
- Umeme Gross Margin increased to 33.1% vs 31% in H1 2022.
- Profit after tax reduced to Ushs 13.2 billion compared to Ushs 64.4 billion due to recognition of a higher amortization charge.
- Net debt reduced by 72% from FY2022 close

Free Cash Flow

Free Cash Flow (USD m)



- Free Cash Flow increased 34% y/y
- Dividend payments to be aligned to cash generation
- Interim dividend payment in February 2024 following closure of long-term debt facilities in Dec 2023. Proposed interim dividend Ushs 24 per share

2023 H2 Focus Areas

Service

Focus on excellent service delivery through automation, responsiveness, reliability of supply and consumer awareness

Connections

- Connect more customers through various financing schemes

Regulatory Targets

- Losses
- Collections
- Cost efficiency
- S- Factor

People & Institutional Capacity

- Staff productivity
- Recruitment of frontline technical staff
- Training
- Optimize technology and processes

Guidance

Leverage

Long-term debt to be fully repaid at 31st Dec 2023.

Capital Expenditure

Optimizing Capex focused on growth, reliability and efficiency projects.

Shareholder Returns

Maximize free cash flow for shareholder distributions

Recovery of the Buyout amount at the natural end of the concession.

Question & Answer